

BUILDING THE RAILS OF MODERN FINANCE

Why Enduring Platforms - Not Hype - Will Define the Next Banking Decade

By Parag Bhise

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There is a quiet responsibility that comes with building technology for banks. Behind every lending portfolio lies an entrepreneur taking a risk. Behind every transaction lies trust - placed by individuals, businesses, and institutions. In nearly four decades of building financial technology, one lesson has remained constant: innovation excites markets, but trust sustains them. Today, banking stands at a decisive inflection point. Artificial Intelligence is transforming underwriting, compliance, and customer engagement. According to McKinsey, AI could unlock more than **\$1 trillion in annual value for global banking** in the coming years. The scale of opportunity is undeniable.

But in regulated industries, opportunity must be matched by accountability.

- **AI in banking cannot merely be intelligent.**

- **It must be explainable.**

- **It must be auditable.**

- **It must be governed.**

- **That philosophy shapes how we build at Nucleus Software.**

- **Purpose-Built for Financial Services**

Founded in 1986, Nucleus Software chose depth over diversification. We focused exclusively on financial services - understanding its regulatory complexity, operational nuance, and risk sensitivity. This conviction focus and hardwork over the decades led to the creation of:

- **FinnOne Neo®** - an end-to-end digital

lending platform spanning origination, underwriting, servicing, and collections.

- **FinnAxia®** - a global transaction banking platform powering liquidity management, receivables, payments, Financial supply chain financing and trade finance.

- **Nucleus Digital Services** - our transformation arm enabling cloud adoption, workflow optimisation, API integration, and digital modernisation.

Today, we serve **200+ financial institutions across 50+ countries**. Our platforms process millions of transactions daily, supporting ecosystems that facilitate trillions in financial flows annually. Yet what matters most is not scale alone - it is endurance. Many of our client relationships span over decades reflecting a partnership model built on reliability.

Growth is easy.

Endurance is hard.

India's Moment of Financial Reinvention

India's aspiration of becoming a developed economy by 2047 demands a resilient financial backbone.

The MSME sector contributes nearly **30% to India's GDP**, yet structured access to credit remains uneven. Digital lending platforms in India are projected to grow rapidly over the next decade, expanding inclusion while reshaping risk frameworks. But inclusion without governance creates fragility.

Our role, as I see it, is not merely to digitise lending or transactions banking- it is to strengthen institutional trust. Technology must expand access while reinforcing compliance.

Platforms are not products.

They are digital infrastructure.

And infrastructure must be engineered with discipline.

Innovation With Guardrails

Artificial Intelligence has become central to modern banking operations - from fraud detection to predictive analytics.

But in boardroom conversations, I often emphasise a simple point:

Power without transparency is risk.

Our approach embeds AI within structured workflows and governance frameworks. Compliance is not an afterthought; it is embedded into design. Through Nucleus Digital Services, we work alongside financial institutions to translate strategy into execution - ensuring transformation is not cosmetic, but systemic.

The future of fintech will not be defined by speed alone.

It will be defined by responsible scale.

The Decade Ahead

The next decade in banking will reward institutions that balance agility with resilience.

Technology providers must move beyond innovation theatre. They must build platforms capable of withstanding regulatory change, economic volatility,